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RATES

EUR Money Markets: Some signs of tightening conditions

Easing energy prices have taken a July European Central Bank rate hike off the table, but September remains in play. Liquidity still looks ample, but there are some signs of increasing tightness. A doubling of the reserve requirement as mulled by the ECB risks an uneven tightening impact



ECB policy outlook: Easing back from the energy shock

The 60-day ceasefire in the Middle East has seen oil prices drop close to pre-war levels. This has clearly eased inflation concerns, not just in the market but also among central bank officials.

ECB officials have been cautious not to sound too dovish, however. Clearly, a hike in July has become unlikely, but the idea of further policy tightening down the road has been kept alive. For one, there are clear risks around the deal in the Middle East and a re-escalation with another spike in energy prices remains a possibility. Secondly, the ECB will still want to monitor how the energy situation percolates through the economy before committing to any path.

Markets have already made up their minds. A hike in July is off the table, while September looks to be a coin toss. If anything, we think the ECB will act before the end of the year, and

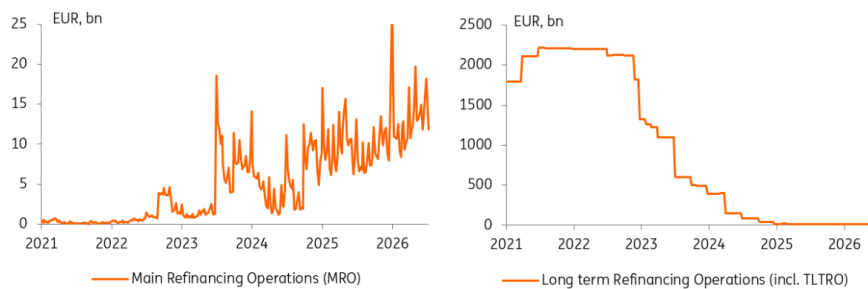
looking further along the curve, the market is just shy of fully discounting another hike from the ECB.

We think the market can maintain its dovish bias for front-end rates if, on average, energy prices stay at benign levels and inflation does not surprise to the upside due to second-round effects. But it will be a slow process, as such risks will be priced out over time as data materialises and ECB officials gradually shift to a more balanced tone. But for now, our economists are keeping a second rate hike in play.

Liquidity and funding conditions: Still ample, but some signs of tightening conditions

Excess liquidity in the banking system continues to contract as the ECB rolls off its bond holdings. The current level of €2.2tr still appears ample, and that view is corroborated by the still very muted uptake in the ECB's regular liquidity providing operations. Banks are picking up €12bn in the weekly operation and another €13bn via the three 3m longer-term operations.

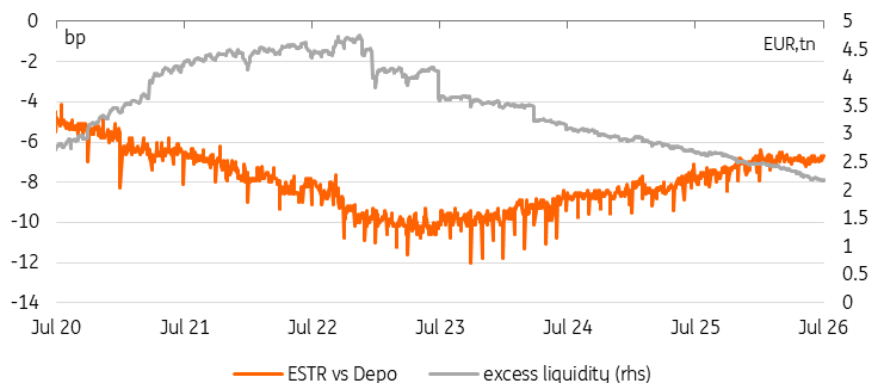
Banks' pick up of liquidity from the ECB is rising only slowly



Source: ECB, ING

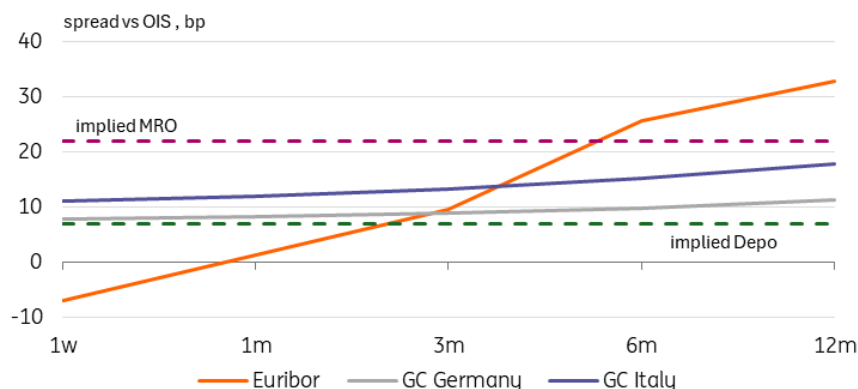
That said, there are also signs that funding conditions are gradually turning tighter, especially around quarter-ends. For instance, banks had picked up a slightly higher €18bn in the weekly operation, and we had seen somewhat higher recourse to the marginal lending facility into the turn of the quarter – just below €1bn still, but an increase in volumes compared to previous turns.

Excess reserves continue to trend lower, but the rise in ESTR as stalled



Repo markets have seen a more pronounced increase in general collateral (GC) rates over the turn of the quarter. Overnight Repo fund GC rates for Germany rose 3.5bp above prior levels and by more than 5bp for Italy, although the broader GC pooling basket only saw a relatively muted uptick. Overall, we are still facing excess liquidity levels where the reaction of short-term funding rates to any smaller changes remains limited, resulting in the slow updrift witnessed over the past years. Of late, that updrift seems to have stalled somewhat.

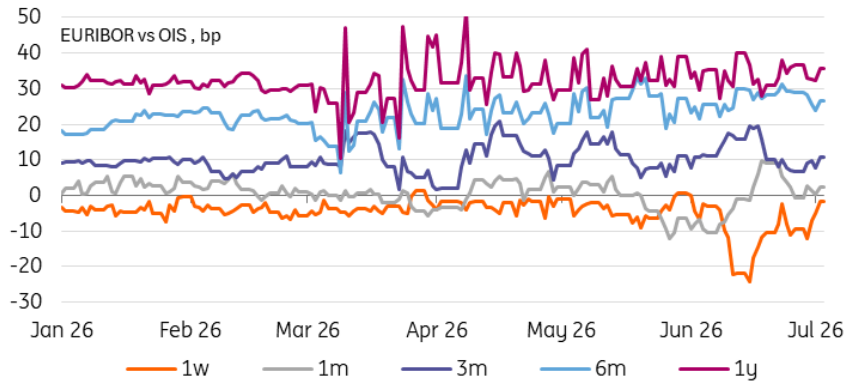
Repo rates remain within ECB rate channel, unsecured steepened



Source: Refinitiv, ING repo desk, ING

If we look further out the funding curve we see the usual relative steepness of the Euribor curve. With the onset of the Middle East crisis, front-end rates have become more volatile in general, which has also been reflected in the spread volatility. While things have normalised somewhat, the 6m and 1y term spreads, especially, remain at wider levels.

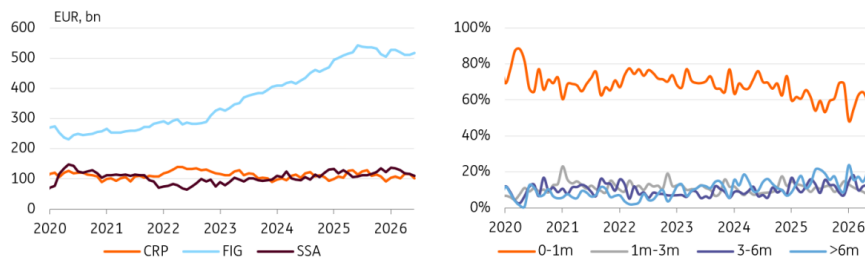
The Euribor/OIS structure has become steeper and more volatile



Source: Refinitiv, ING

EUR funding volumes by banks (FIG) in the commercial paper (CP) market are up marginally from the end of last year. Looking at the maturity composition of banks' unsecured CP funding since the Middle East crisis began, one can observe first a focus on short maturities, and then, as funding moved further out again, a focus on the 6m and longer tenors over the course of June.

Outstanding CP/CD and banks' CP issuance by maturity bucket



Source: CMD, ING

The ECB has revived the minimum reserves discussion to cut its losses

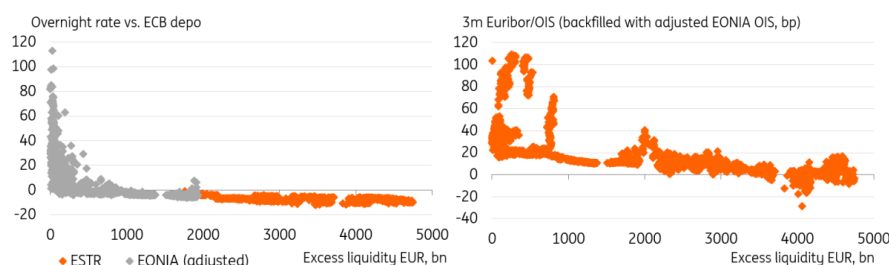
Reuters reported last week that the ECB was considering raising the amount of reserves banks are required to hold at the ECB on average – not immediately, but potentially in the autumn. Crucially, this Minimum Reserve Requirement (MRR) is not remunerated, unlike reserves parked at the deposit facility, which currently earns banks 2.25% in interest. Doubling the MRR is estimated to save the ECB close to €4bn annually, and more if interest rates were to be increased further.

The original purpose of the MRR was to create a liquidity deficit in a system where the ECB is

the sole supplier of liquidity – via this monopoly, the ECB had a means to implement its monetary policy stance in the market via its liquidity operations. But the MRR no longer serves that purpose in a time when the ECB has injected multiples of the MRR as excess liquidity into the banking system via quantitative easing. Market rates are determined by the interest earned in the deposit facility, where banks park their excess liquidity.

With excess liquidity currently at €2.2tr, the impact of a €174bn one-off reduction, which the doubling of the MRR would effectively result in, could be expected to be marginal. It would push us closer to a level of excess liquidity where funding rates are anticipated to react more sensitively to any changes, though. We have seen market expectations of Euribor/OIS spreads already nudge slightly higher on the back of the headlines.

The system is closing in on reserve levels where rates react more sensitively



Source: Refinitiv, ECB, ING

Looking deeper into potential knock-on effects, it is important to note that required reserves do not count towards banks' Liquidity Coverage Ratios. And that excess liquidity is not distributed equally.

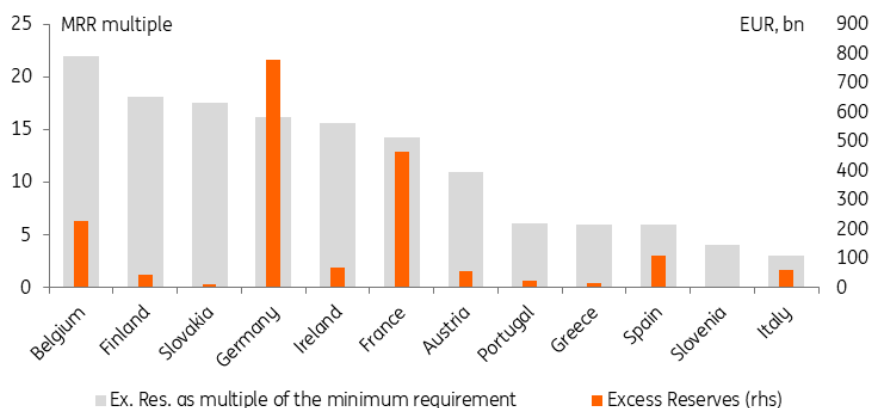
On a country level, we can see that Italy, Spain and Portugal hold excess liquidity to the tune of 3 to 6 times their respective MRR, whereas we are looking for multiples close to 15 for e.g. France and Germany. One could argue that redistribution of liquidity within the Eurosystem is currently happening relatively smoothly, but certainly some jurisdictions would feel a greater squeeze.

Liquidity is also not distributed proportionally across banks, as had been pointed out in the discussions [when the ECB first floated the idea of increasing the MRR](#), back then by even more than just doubling it. Crucially, those banks that hold the excess liquidity are not necessarily the ones holding deposits, which ultimately serve as a basis for the calculation of a bank's MRR. And those banks holding disproportionately larger deposits tend to be smaller banks that would then be penalised.

Looking at who taps into the ECB's liquidity operations currently – as seen above at still very moderate levels on aggregate – it is mainly Italy, and surprisingly, also Germany. The former

reflects the already low levels of excess reserves in Italy, whereas the latter likely points to the situation of smaller banks.

Excess reserves are not distributed equally across countries and banks



Source: ECB, ING

The ECB's endgame remains to get to an environment where the banking system operates with lower levels of excess reserves, at levels determined by banks themselves in a self-balancing manner, with the ECB liquidity operations seen becoming an integral part of banks' liquidity planning. The result is higher short-term market funding rates closer to the MRO as we see more reliance on the ECB's liquidity operations. The more structural liquidity needs would be covered by long-term liquidity operations and a bond portfolio (but substantially smaller than now).

The desire to cut losses and get to that situation more quickly is understandable. This year there will be a review of the operational framework changes that were introduced in 2024, which can explain the timing of the headlines. But we doubt it is worth the risks of disrupting the gradual path toward the envisaged way of conducting monetary policy that the ECB has worked so hard to keep in the background.

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